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Best of BI Credit Asia Weekly: Oct. 2


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1. China Developer Funding; SoftBank LTV: Best of Asia Credit

(Bloomberg Intelligence) -- China's attempt to fill developers' presale funding gap through corporate bonds, SoftBank Group's potential loan-to-value improvement from a higher OpenAI valuation, and relative-value opportunities across Asian financials are among this week's Bloomberg Intelligence Asia credit research highlights. Other research includes Champion REIT's office recovery potential, Mineral Resources' tighter spread room after improving fundamentals, Hon Hai's AI expansion and free-cash-flow pressure, and Li & Fung's acquisition-led growth alongside a slight leverage increase. (10/02/26)

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Key Topics

Themes

China Bond Reform Set to Narrow Developers' Presale Funding Gap

China's Aug. 28 corporate-bond reform should ease developers' shrinking presale funding, though benefits will likely remain concentrated among stronger credits as pricing and investor appetite constrain weaker names. China Overseas Land's 20 billion yuan application shows how SOEs can tap project-linked funding, while Seazen's 7.8% unsecured bond highlights the high stand-alone cost for weaker private firms. Longfor sits between the two, with proposed unsecured bonds likely to price near its onshore curve. (09/29/26)

Credit Strategy

Rising US Inflation Threatens Wider Asia Dollar Bond Spreads

Contributing Analysts Timothy Tan (Strategy)

Asia dollar bond spreads risk widening and the spread curve steepening as higher US inflation, rising Treasury yields and weaker foreign demand for US government debt drive investors to reduce exposure to dollar credit. US ISM and PMI data point to an inflation spike in 4Q that could extend into 2027, with import prices leading PPI and CPI higher. Repricing of inflation expectations and a foreign-buyer strike in US Treasuries will push dollar yield curves higher.

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Financial Institutions

2. Norinchukin Bonds Likely to Tighten Toward Megabank Bail-In Debt

Contributing Analysts Pri de Silva (Credit) & Adrian Sim (Credit)

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Norinchukin Bank's senior unsecured bonds (A1/A) are likely to tighten toward the bail-in debt of the megabanks, supported by improving credit fundamentals and favorable market technicals. At current spread levels, the bonds have relative value, particularly compared with other Asian banks and Nochu's A1/A ratings. (09/28/26)

Bangkok Bank T2s Offer Value While Kasikornbank Fairly Priced

Contributing Analysts Rena Kwok (Credit)

Thailand's weak growth and high oil prices drag on bank asset quality despite state stimulus. Bangkok Bank's dollar Tier 2s might tighten modestly toward the Asia ex-Japan Baa1-Baa3 peer curve over six months due to interest-margin gains and lower credit costs. Kasikornbank's T2s look fairly valued, reflecting ample provisioning, tight underwriting and a pivot toward corporate loans, which buffer above-peers pressure on credit. (09/29/26)

Real Estate

NWD Potential Fresh Capital From Bain Adds Options: Credit React

RECENT EVENT REACTION: New World Development's reported potential investment from Bain Capital, according to Bloomberg News, reflects renewed external investor interest and potential recapitalization options, though talks remain preliminary. While a primary equity raise would dilute Chow Tai Fook Enterprises's (CTFE's) stake, a large subscription by the parent could create headroom for Airport of Authority Hong Kong's 750 million-share option. Based on the developer's latest disclosed share count, hypothetical full exercise today would give the authority about a 29.8% stake while cutting CTFE's to 15.4% from 45.2%. This would breach conditions requiring CTFE to retain at least a 30% share or voting rights. Improving option flexibility would therefore require meaningful CTFE participation rather than relying on external capital alone. (10/02/26)

3. Champion REIT's Office Catch-Up Unlocks Bond RV: Credit Outlook

THESIS: Champion REIT's credit profile could improve as its lagging offices recover with the gradual absorption of new supply, supported by resilient malls. Rating downside is limited by solid liquidity and a strong refinancing track record, despite significant maturities in 2027. Its 2030 dollar and short-dated HKD bonds could tighten as current spreads may overstate office and refinancing risks. (09/29/26)

Aircraft Lessors

Aircraft Lessors' Revenue Growth, Spreads May Face Jet-Fuel Test

Contributing Analysts Pri de Silva (Credit) & Adrian Sim (Credit)

Aircraft lessors' revenues and credit spreads are likely to face headwinds from high jet fuel costs. We expect lease rates to flatten, pressuring revenues as aircraft demand -- particularly from low-cost airlines -- slows due to high operating costs. Elevated fuel costs have already played a role in the bankruptcies of AirBaltic and Spirit Airlines, as well as the financial difficulties of AirAsia and Vietnam Airlines, all of which further softens demand for aircraft. (09/30/26)

Materials

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4. MinRes Flexibility Improves, Spread Room Narrows: Credit Outlook

Contributing Analysts Mary Ellen Olson (Credit)

THESIS: Upside pressure on Mineral Resources' (Ba3 / BB) credit quality might continue following Fitch's one notch upgrade to BB. Sustained leverage below 2x, increased financial flexibility, and improved corporate governance are key drivers relative to Moody's upgrade triggers. Mineral Resources' dollar bonds appear to offer limited upside; stronger fundamentals are already factored into current valuations and spreads are tight relative to higher-rated peer Fortescue. (09/28/26)

TMT

SoftBank LTV Room, Risk to Grow on OpenAI Round: Credit React

Contributing Analysts Sharon Chen (BI) (Credit)

RECENT EVENT REACTION: SoftBank Group's loan-to-value ratio could improve by about 2 percentage points if OpenAI raises at least $30 billion at a $1.4 trillion pre-money valuation, with Bloomberg News reporting it's in early talks about such a deal. The deal would leave LTV at a mid-teens percentage assuming an Arm share price of at least $250, pro forma for pending deals and excluding asset-backed financing, with capacity for over $50 billion of additional investment before reaching SoftBank's 25% ceiling. Any participation in the financing round, however, would put liquidity in focus after SoftBank paid up in an $11 billion offshore bond deal to fund the final $10 billion tranche of its OpenAI investment. Asset-monetization options have narrowed after the recent use of prepaid forward contracts backed by Intel shares. (09/30/26)

5. Hon Hai AI Ramp Faces FCF Strain, Delay Upgrade: Credit Outlook

Contributing Analysts Cecilia Chan (Credit)

THESIS: Hon Hai's scale, vertical integration and strong ties with cloud providers are set to drive multi-year revenue and profit growth of 24-38% over the next three years as hyperscalers expand AI infrastructure. Geographic diversification protects against some geopolitical risks, while the fast-growing AI server value chain enhances customer diversity, offsetting Apple supplier shifts. Upside is set to come from ASIC-based server projects and Nvidia's Vera Rubin rollout in late 2026, which could become the main product in 2027. With FCF temporarily turning negative and net cash declining, S&P's positive outlook may be hard to resolve in the near term. Yet these liquidity draws reflect short-term growth investments rather than structural weakness, with strong profitability and business diversity providing catalysts for upgrades. (09/29/26)

Consumer Discretionary

6. Li & Fung Enjoys Revenue Hike Via M&A But Slight Leverage Uptick

Contributing Analysts Andrew Chan (Rsch) (Credit)

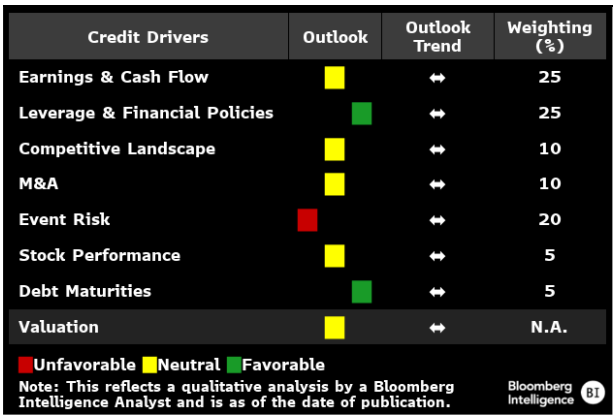
Li & Fung operates in the global sourcing and supply-chain management sector, where the outlook remains clouded by weak discretionary demand in the US and Europe, shifting trade policies and elevated geopolitical uncertainty. While the company remains vulnerable to fluctuations in consumer spending, it has demonstrated resilience through customer diversification, sourcing flexibility and continued operational efficiency gains. Both Fitch and S&P expect EBITDA to improve in 2026, supported by new customer wins, wallet-share gains and a more favorable business mix.

S&P expects revenue to jump by over 30% in 2026 due to the acquisition of New Advent Global but this will be offset by a slightly higher leverage at around 4x in 2026 and 2027. This level of leverage is still reasonable for its 'BB' credit rating and should not hit its downgrade rating triggers. (09/28/26)

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Li & Fung Credit Checklist



Source: Bloomberg Intelligence

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